

pre-loaded apps at ₹4,798. While large telecom companies like Jio have launched a similar product portfolio at a much more aggressive price point, players like Tata Play and Airtel have used product innovation such as bundling OTT with television to differentiate themselves. “These product innovations will not only keep churn under check but also enable the platforms to expand their ARPU in the long run. Tata Play caters to those discerning urban audiences who want to watch the best of both worlds,” says Shah.

He believes that India might skip the multi-TV stage that was seen in several mature markets. “Several developed markets had the time to evolve and see the growth and maturity of pay TV. While India just attained its TV digitalisation objectives, the simultaneous mobile data boom in the country will make it skip the multi-TV monetisation phase. Today 95 per cent of the homes in India are single TV. Many members of the family may prefer moving to mobile or tablets for more personalised viewing,” says Shah.

He argues that Tata Play’s new proposition will work well in urban centres with many of them adopting connected TV solutions. Many of these DTH players that aim for growth from multiple streams see India more like a continent than a country. “There are many Indias within India. Thus, for a national player, you need to have horses for courses catering to varied audience cohorts having a wide range of viewing preferences,” adds Shah.

THE INDIA WAY

India is at about 55 per cent TV household penetration versus the Asian average of around 85 per cent. With the western markets



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VICE PRESIDENT, MEDIA PARTNERS ASIA



THE NEXT GENERATION WILL BE CORD-CUTTERS. BUT THERE’S A LOT OF LIFE LEFT IN TV ESPECIALLY BECAUSE NEWS IS SUCH A BIG DEAL IN INDIA. THAT’S THE BIGGEST THING THAT KEEPS DTH STICKY

UTKARSH SINHA

MD, BEXLEY ADVISORS

such as the UK and the US having had a good breathing time for TV to evolve, Indian media are at different stages of evolution, affordability, and consumer choice, where every form of media seems to be growing manifold. KPMG says DTH broadcasting accounts for 37 per cent of the total television subscribers in India and is estimated at approximately ₹22,000 crore (\$3 billion) in 2020-21 as against 34 per cent in 2018-19.

Even digital subscriptions, on the back of growing user adoption, continued to rise strongly at 47 per cent in 2020-21, although there was some resistance due to the combined factors of OTT video players increasing their package prices and the sales impact of a slowing economy, according to a KPMG report.

Experts point out that since India has been at the rock bottom in terms of data pricing and internet bandwidth costs, Tata Play’s aggregated proposition will make much more sense in the OTT market as it matures further.

But why launch now? “We’ve realised that there’s a need in the market. How many subscriptions will people keep a tab on? There’s a need gap,” Nagpal says.

He makes his point on the viability of multiple media in a unique way. “The purpose of any transport mechanism is to transfer you from point A to B. Now, convenience costs more money. TV is like the bus or the train. It’s by appointment. OTT is like the car. Just because a car has been invented doesn’t mean people will stop travelling on buses or trains,” he says.

Well said, but over time, whether or not the cars outpace the trains and buses because of their convenience, remains to be seen. **BT**

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